

Fearnleys Tanker Market Wrap-up Sep 2026

Sep 25, 2026

Jonathan S. Staubo

Uncharted. Off the charts. Still standing...

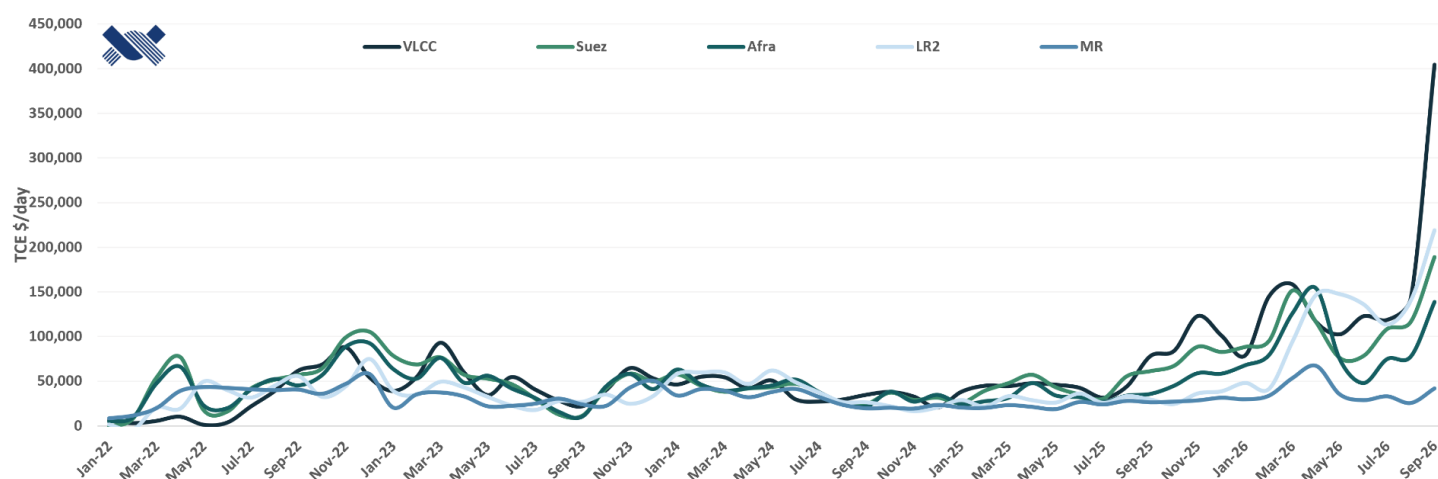
Summary and outlook

Over the last month refinery margins have strengthened further, accommodating higher oil prices and record freight. Thus, the conditions for a paradoxical equilibrium in which rates can stay at staggering heights still hold. On top of previously highlighted disruptions and inefficiencies, there is now increasing export volumes from both the MEG and other areas - last week global loadings were for the first time above pre-war levels.

The outlook is not without downside risks for rates (who would have thought, from all time highs..?) - the biggest of which are a U.S.-Iran deal (although a more sustainably solid demand scenario for the next 12-18 months) and a significant escalation (lower volumes and potential demand destruction from higher energy prices).

For now, however, volumes look set to continue growing, and then there are seasonal factors to come too... Not to mention a potential U.S. gasoil export ban which may further boost crude tanker and LR demand. As long as oil pricing can handle it, the rate momentum can last - key indicators to watch will be physical oil price premiums vs. futures and crack spreads.

Monthly average rates - constantly adjusting the Y-axis



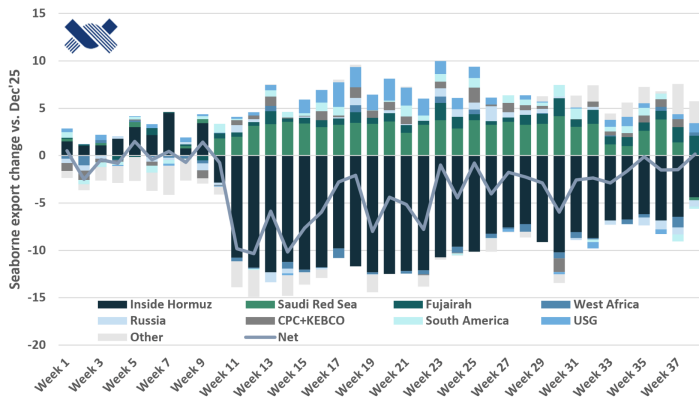
Source: Baltic Exchange

Volumes nearly recovered - demand at all-time-high

More and more crude oil makes its way through the Hormuz Strait, 10 mbpd at the most recent reading, which coupled with other outlets has brought total crude loadings back above the pre-war level. There may be further upside near-term as MEG producers ramp up further (normally reliable sources now suggest that transits may even have risen further toward 12 mbpd), seasonal exports ramp up from the Americas, possible continued SPR releases and a proposed U.S. gasoil/diesel export ban. Recent reports about the two latter points have driven USG export arbitrages to open again in recent days.

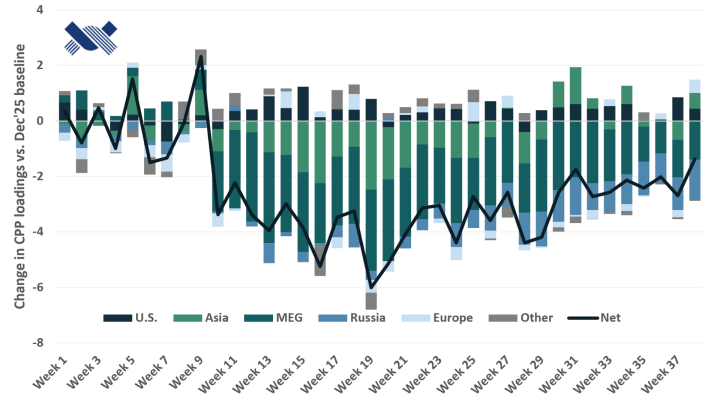
The increased crude flow has in turn spurred higher refinery runs and products exports, although the latter has not quite yet caught up as much as crude. There should be more to come given greater crude availability and very high refinery margins.

Seaborne crude oil loadings vs. Dec'25



Source: Vortexa

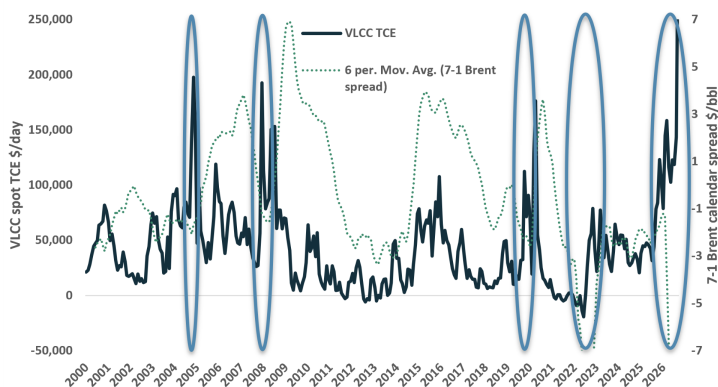
Seaborne oil product loadings vs. Dec'25



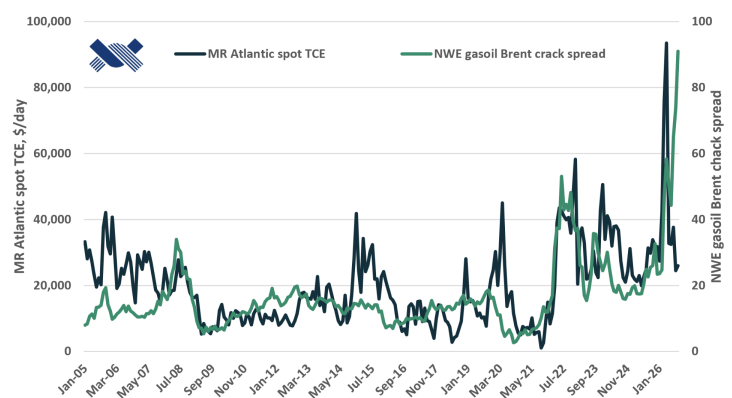
Although it was the case a few weeks ago, the most potent leg of the rate rally has not been arbitrage driven, but rather a sourcing driven rally. Despite increasing Hormuz transits the physical oil market is tight, as SPR releases slow and Chinese buyers have stepped back into the market. This can be seen in a steepening backwardation in oil forward curves, and again big premiums for physical vs. futures. As in previous instances, fears of oil shortages drive hoarding, where securing the barrels and ships trump cost - hence producing these phenomenal rates. This time forward curve backwardation is steeper than in other instances, such as 2004-05, 2008, 2019 and 2022, and producing higher rates - partly also as the tanker market balance was very tight already going into this.

The rally has also been fueled by very high refinery margins, particularly for diesel. What is so far lacking is some follow-up for MR rates in the Atlantic basin vs. those strong crack spreads - diverging from the normal relation, partly due to an overhang of tonnage. With better fortunes in the Pacific, however, due to the significant difference in earnings, there should be some West-East migration of tonnage going forward. Crude economics even justify dirtying up MRs for Atlantic-East voyages - still returning vast TCEs after accounting for clean-up.

Brent fwd. spread vs. VLCC rates



Northwest Europe gasoil crack vs. Atlantic MR rates



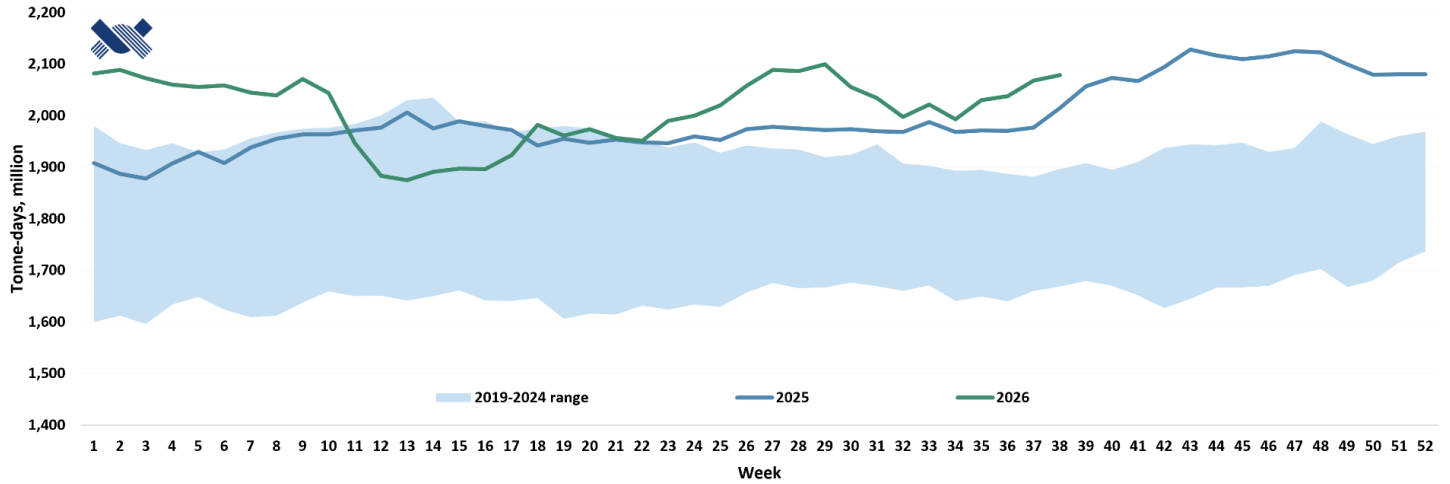
Source: Bloomberg, Fearnleys, Baltic Exchange

In line with rising volumes and persistent inefficiencies, tonne-day demand has risen again over the last month. Here too, crude leads the way with the biggest m/m gains, but products slowly catching up. VLCCs still lag the other crude tanker segments in terms of explicit demand, but more idle ships, congestion and waiting time, coupled with bad weather in the Far East has given a very tight position list, which makes up for that difference and produces these vast rates.

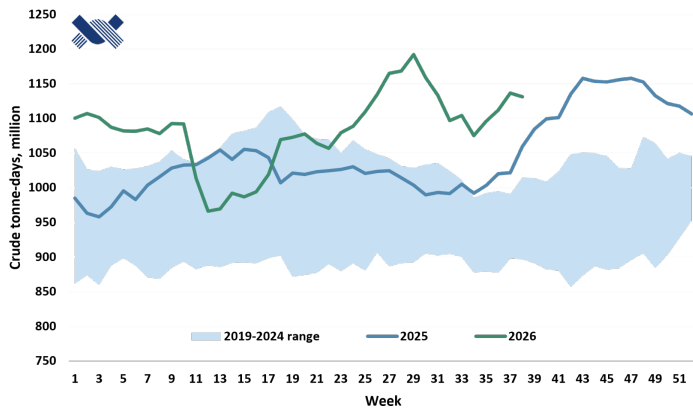
The increased flow out of Hormuz has seemingly exhausted GOO STS capacity, with more requests for STS off India

instead over the last few weeks, as more Saudi volumes have come into play too. In other words, no efficiency gains just yet, with waiting time likely to persist. As long as this flow is maintained, while there is also a pull of Atlantic cargoes to the (Far) East demand may continue growing near-term and into year-end.

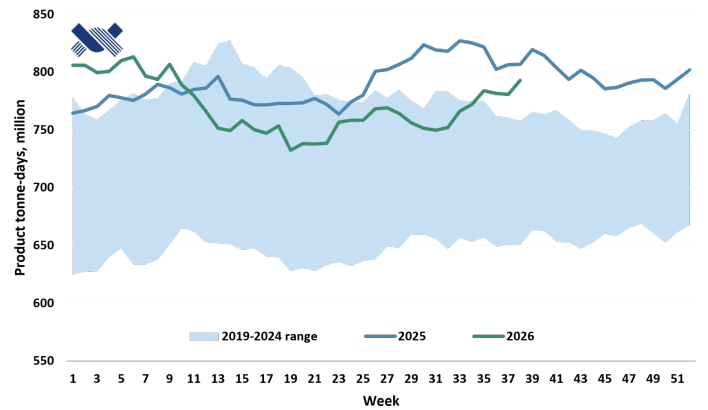
Total tanker tonne-day demand (+3% YTD)



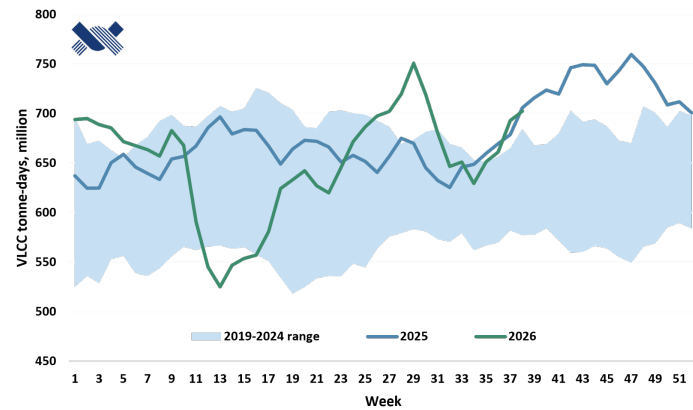
Total crude tanker tonne-day demand (+7% YTD)



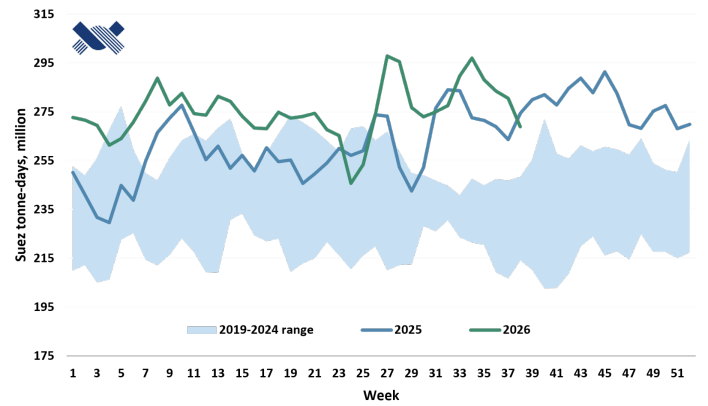
Total product tanker tonne-day demand (-2% YTD)



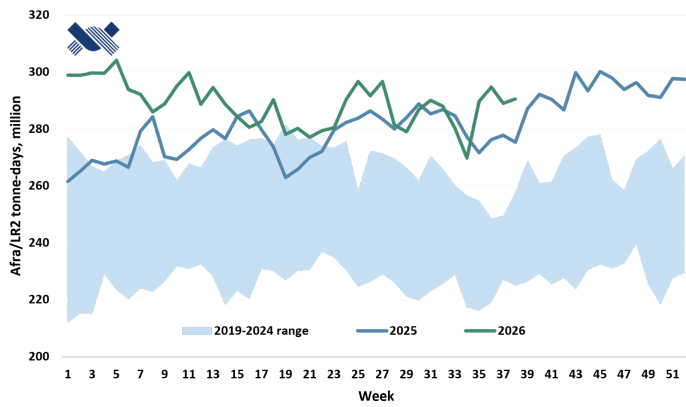
Total VLCC tonne-day demand (-1% YTD)



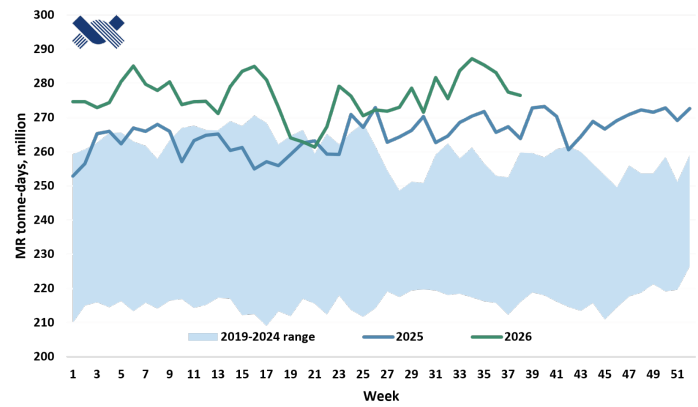
Total Suez tonne-day demand (+6% YTD)



Total Aframax/LR2 tonne-day demand (+4% YTD)



Total MR tonne-day demand (+5% YTD)



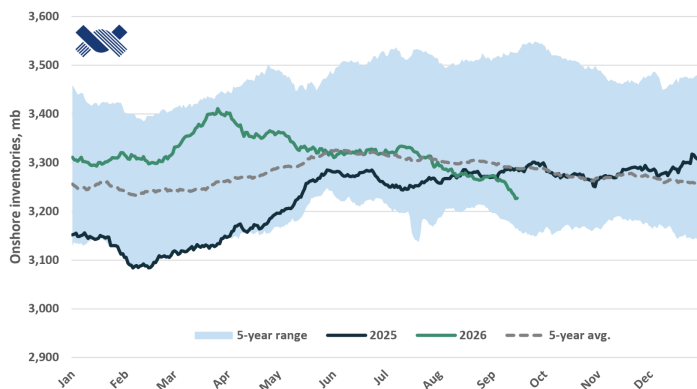
Source: Vortexa

Oil market still short and supportive

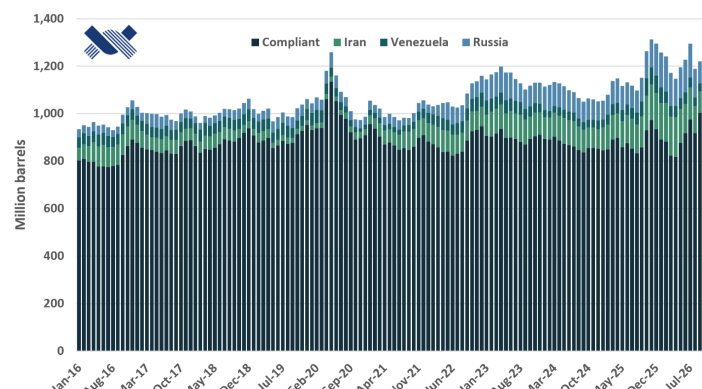
Onshore stocks have gently eased since hitting a peak in March, accelerating a bit most recently, to bring draws to 180 mb. Over the same period, however, compliant crude oil on the water has risen by nearly the same amount. Non-compliant crude on the water has drawn by 130 mb. That is much less draws than feared, a balance has largely been shored up by China as a swing buyer and lower global refinery runs. The latter means the real tightness is in products, as also reflected in crack spreads.

The draw-down of non-compliant crude oil also explains why Chinese buyers have been more active in the crude market recently - as does a rebound in Chinese refinery runs.

Global onshore crude oil storage



Crude oil on the water by source

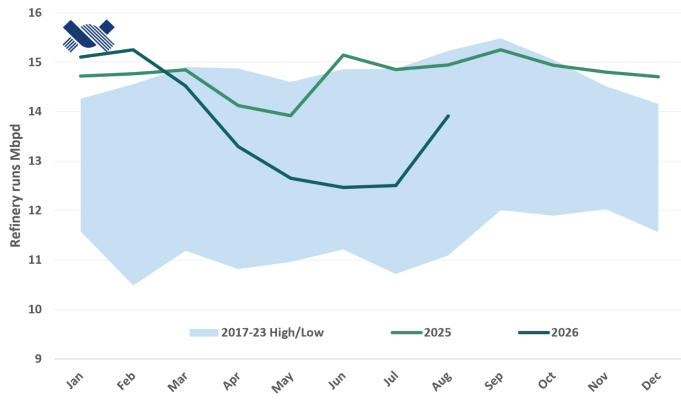


Source: Vortexa

Chinese refinery runs recovered to nearly 14 mbpd in August, from a low of 12.5 mbpd the preceding months. This is still 1 mbpd shy of the same month last year. Meanwhile, apparent main products demand has been 6% lower y/y through the first eight months of the year, and remained down 1.3 mbpd in August. It remains to be seen whether this is structural (in line with other industrial indicators), or a controlled temporary adjustment.

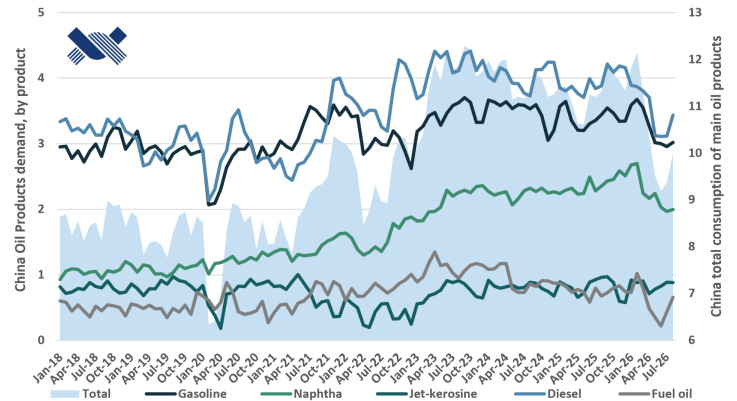
There may be some recovery going forward, but a further recovery for runs perhaps to a greater extent rests on the export market, for which economics are highly supportive especially considering the global gasoil shortage. All eyes on potential additional export quotas - or a lift for the government imposed ceiling for domestic product prices.

Chinese refinery runs rebounding



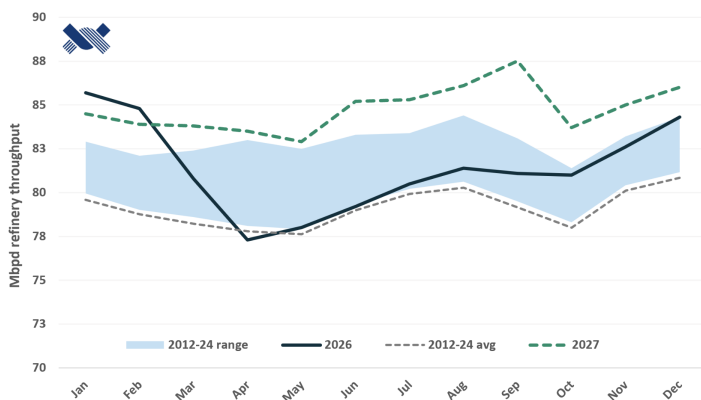
Source: Argus

Apparent demand still low, but recovering slightly

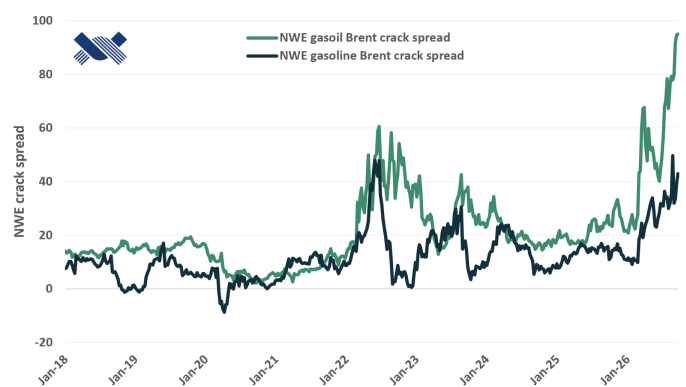


Refinery margins have continued to strengthen over the last month, mainly on capacity constraints but partly also relatively resilient demand. This should incentivise higher runs, but capacity other than in China is mostly maxed out. There should still be some more recovery through year-end, supporting product tanker demand.

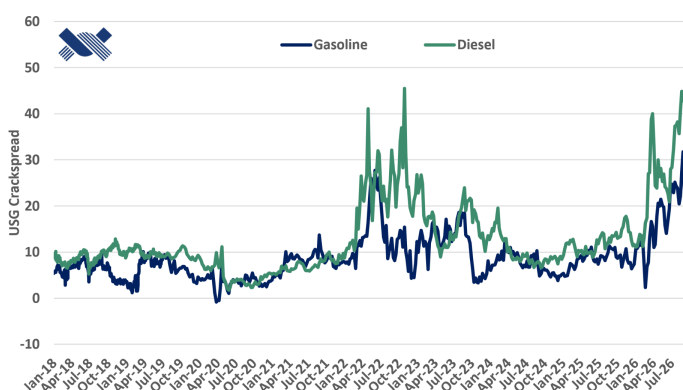
Global refinery runs



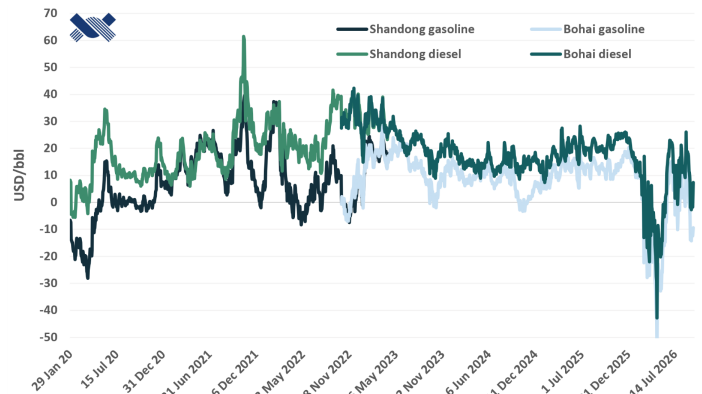
Northwest Europe crack spreads



U.S. Gulf Coast crack spreads



Bohai Bay crack spreads



Source: IEA, Bloomberg, EIA, Argus

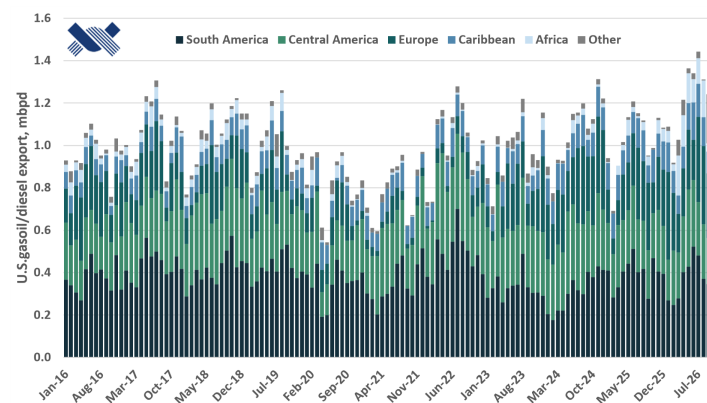
Another layer - potential 90 day U.S. gasoil export ban

The U.S. makes up 18% of global gasoil/diesel seaborne loadings YTD, hence an export ban or restriction can cause further shortages, especially in the Atlantic basin (continued Russia diesel ban does not help either). Global gasoil loadings have recovered nearly all lost ground post the U.S.-Iran conflict – mostly driven by the U.S. Asian and MEG refiners might make up for some U.S. shortfall on better crude availability and more Hormuz CPP transits. Asian gasoil crack spreads are also likely to strengthen, supporting higher refinery runs wherever possible.

The primary effect on tankers is lower TC14 demand and therefore lower Atlantic MR rates. However, there may also be scrambling for East-West gasoil fixtures, boosting an already firm Pacific market. Coupled with other inefficiencies, this is a very potent set-up for LR2s, of which about two thirds are currently tied up in dirty trade. There could thus be spillover also for smaller vessels as fleet positioning can again be wrong-footed.

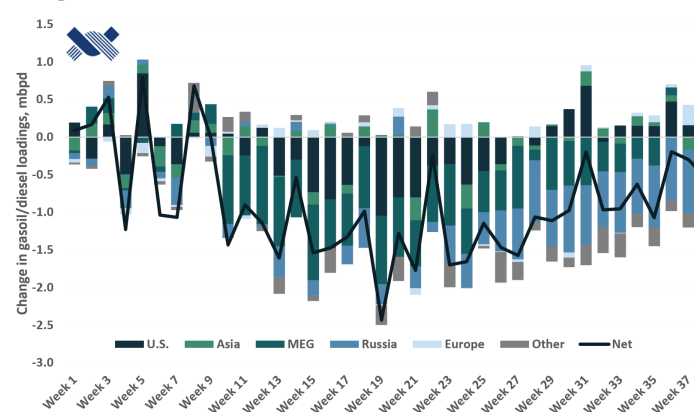
A full export ban can trap USGC gasoil/diesel onshore as there is 'only' 15-20 mb upside to 10-year highs for U.S. Gulf Coast distillate inventories - which would only take 2-3 weeks to fill. Workarounds such as tweaks and optimisation of refinery output to minimise distillates and maximise gasoline, and Jones Act tankers to shuttle excess gasoil to other regions, are only minor at this scale. 30% of U.S. refinery output is distillates, hence up to 3-4 mbpd of runs may worst case be at risk. This could in turn drive U.S. gasoil prices higher (talk about a policy error..) and drive TC2 import demand, offsetting some Atlantic MR weakness. Another secondary effect is (much) softer WTI with excess crude, reopening export arbitrages. This could also come at the same time as the U.S. may release another 30 mb from SPR – further boosting potential USG crude oil exports.

U.S. Gasoil/diesel exports by destination



Source: Vortexa

Global gasoil/diesel loadings vs. Dec'25 baseline



Some thoughts on next year - more oil almost balances more ships

The range of outcomes going into next year is vast, considering the layers of geopolitical factors which may affect the market. Setting that aside, however, there is solid volume growth potential, which may offset accelerating fleet growth.

The EIA projects nearly 1.2 mbpd of crude oil production growth in the Americas next year, significantly higher growth than previously estimated due to higher activity amid supportive oil prices. That is consistent with the IEA, who on top of that forecasts significant growth mainly for the UAE, taking total non-OPEC+ growth next year to 2.5 mbpd.

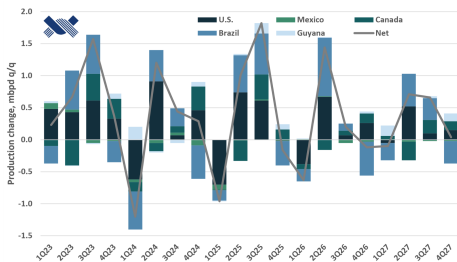
A bigger question mark for next year is refining. The IEA's 3 mbpd run growth estimate partly suggests a normalisation (only 0.5 mbpd higher than 2025) in Hormuz with nearly half of the increase coming in the MEG. The rest is mainly Asia, which is more doable considering better crude availability re. non-OPEC+ growth. The relatively small increase in global runs next year suggests refinery margins may remain high - which for product tankers may mean somewhat better demand prospects than otherwise negligible volume growth would suggest.

2.5 mbpd of non-OPEC+ crude oil supply growth may be enough to just about balance the market next year - especially

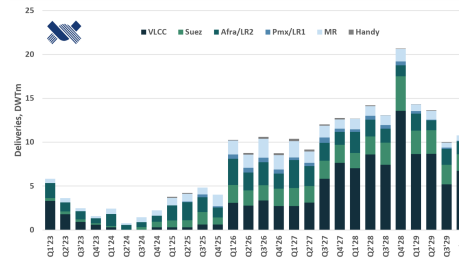
as nearly half of it gives potential for long-haul flow. Gross scheduled fleet growth is set to rise from 5.8% this year to 6.5% next year. Not a lot of scrapping can be expected, but as seen this year, there may be some casualties and forced retirements. Should that limit net fleet growth next year to about 5%, that would only mean a slightly less tight market balance than now.

That means historically very elevated rates may persist - in line with what current 1-year TC rates suggest, albeit off the extreme current levels.

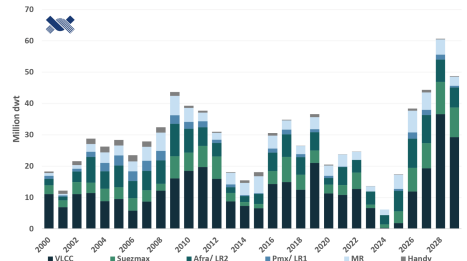
Americas q/q crude oil production change



Quarterly tanker deliveries



Annual tanker deliveries



Source: EIA, Fearnleys



Disclaimer

1. Introduction

The statistical and graphic information set forth in the analysis is compiled by Fearnresearch and based on the databases and time series supplied by Fearnresearch, the research division of Fearnleys AS, and other external sources of information. Fearnresearch compiles, processes and publishes data for the benefit of the brokering departments of Fearnleys AS and its clients. Its methodologies for collecting data, and therefore the data collected, may differ from those of other sources, and its data do not reflect all or even necessarily a comprehensive set of actual transactions occurring in the market. Certain estimates may be based on prevailing market conditions. There can be no assurance that such data reflect actual market conditions.

Data compilation, especially for earlier historical periods, is subject to limited audit and validation procedures. Both closed and open sources, interviews and market intelligence to gain information on different topics may be used. Accordingly, there can be no assurance as to the accuracy or completeness of the estimates, advice, statements and any other information contained in the analysis.

2. Risks

Research coverage of Fearnleys AS encompasses solely companies within the shipping sector. This sector is cyclical by nature and will over time presumably experience higher volatility than the overall market.

3. Confidentiality

Pursuant to Fearnleys' Code of Conduct, all employees of Fearnleys AS are subject to duty of confidentiality towards clients and with respect to handling inside information. All employees shall follow strict information handling procedures and other organizational procedures to minimize conflicts of interest within Fearnleys and between clients.

4. General Disclaimer of Liability

The analyses, estimates, advice, statement and any other information contained in the analysis are prepared and presented in good faith. However, neither Fearnresearch, Fearnleys AS nor any of their subsidiaries, associated companies, organisations, management personnel, employees, agents or independent contractors (collectively the "Fearnley Interests") shall under any circumstances be under any liability for any losses, damages or costs caused to any person, company or other legal entity arising or resulting directly or indirectly from reliance on any inaccurate, incorrect, incomplete or misleading analyses, estimate, advice, statement or any other information contained in the analysis resulting directly or indirectly from any negligent or gross negligent act(s) or omission (s), or wilful misconduct, committed by any of the Fearnley Interests.

In the event that a court or tribunal, notwithstanding the above liability exemptions, should hold any, some or all of the Fearnley Interests liable in damages for any inaccurate, incorrect, incomplete or misleading analyses, estimate, advice, statement or any other information, the liability shall not under any circumstances whatsoever exceed in total ten (10) times the fees payable for the analysis in question, or US\$ 100,000 (United States Dollar Hundred Thousand), whichever is the higher.

Under no circumstances whatsoever shall the individual or individuals who have caused the losses, damage or costs be held personally responsible or liable in any way. The Fearnley Interests shall under no circumstances whatsoever be liable for punitive damages.

The analysis is prepared to the benefit of the named addressee only. No other third party may rely on the analysis or any of its content without prior written approval of Fearnley Consultants AS.

Should any part of this clause be held unenforceable, non-operative or invalid by a court or tribunal, the remaining parts shall remain in full force.

5. Processing of Personal Data

The processing of personal data within Fearnleys AS is subject to strict rules and regulations. Our Privacy Policy describes the procedures for processing personal data according to the General Data Protection Regulation (GDPR). Please see our homepage for more information on this.

Fearnleys AS

Dronning Eufemias gate 8
0191 Oslo
Norway
+47 22 93 60 00

An Astrup Fearnley Company